

SADC GDP ANALYSIS

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OVERVIEW

This analysis examines the distributions and growth trends of gross domestic product (GDP) across key economic activities, grouped into sectors, for five SADC countries: Zambia, Zimbabwe, Malawi, South Africa, and Angola. The analysis has been conducted using data from 2015 to 2024. The aim is to assess economic structures and to determine whether there are dependencies on any specific sector or activity.

DEFINITIONS

- 1 **Gross domestic product (GDP):** is a monetary measure of the total market value of all the final goods and services which are produced and rendered during a specific period (usually a year) by a country.
- 2 **Primary Sector:** Involves the harvesting, mining, Quarrying, and collection of natural resources.
- 3 **Secondary Sector:** Refers to vocations in which products are assembled and finished (manufacturing, chemical production, shipbuilding, construction, energy distribution, engineering).
- 4 **Tertiary Sector:** Provides services to consumers and businesses rather than producing goods. Examples include retail, healthcare, education, banking, and transportation.
- 5 **Adjustments:** Taxes less subsidies on products.

KEY FINDINGS

All five countries rely on the tertiary sector the most, as it encompasses the broadest range of economic activities. South Africa has the highest overall GDP amount, followed by Angola, then Zimbabwe, then Zambia, and finally Malawi. Across the group, tertiary sector contributions range from approximately 49.9% (Malawi) to 63.5% (South Africa).

Zambia, Zimbabwe, and Malawi share broadly similar structural compositions, with the tertiary sector dominating GDP contribution at approximately 50 to 55% across all three. Zambia and Zimbabwe are the closest in structure (~54.6% and ~54.7% tertiary share respectively), while Malawi has a slightly lower tertiary share (~49.9%) and a greater concentration on agriculture, forestry, and fishing. Despite these structural similarities, growth performance differs significantly across the three countries, indicating that sector

structure alone does not explain macroeconomic volatility.

Zambia shows the highest growth volatility among the three, with a sharp contraction around 2020 followed by a strong rebound in 2021 to 2022 and a mild slowdown afterward. Malawi displays more moderate but less stable growth, with a noticeable decline in 2024. Notably, Zimbabwe and Malawi were the only countries not to experience a decrease in GDP value from 2019 to 2020 (COVID), an outcome linked to minimal shocks in the sectors they are most dependent upon. This nonetheless leaves them open to significant lows if their economies are not further diversified.

South Africa is highly service-driven and diversified, with its tertiary sector accounting for approximately 63.5% of GDP, the highest among all five countries. Angola, in contrast, remains heavily concentrated in primary activities such as mining (~36.7% primary sector share), making it the most commodity-exposed economy in this analysis. Though this concentration works for Angola, it would be highly risky for Zambia to adopt a similar structure. GDP growth is significantly impacted by sector and activity dependencies in any given year.

Growth trends from 2016 to 2024 show cyclical alignment across Zambia, Angola, and South Africa, particularly around the 2020 contraction and the 2021 to 2022 recovery phase, indicating shared exposure to global shocks. Angola exhibits the highest growth volatility among the three, while South Africa shows comparatively more stability. Zambia broadly tracks both patterns, suggesting its growth is influenced by both regional economic conditions and commodity-linked cycles.

IMPLICATIONS

Zambia remains partially dependent on the primary sector, but growth rate trends also suggest notable diversity. This is evidenced by the similarity in growth rate patterns between Zambia, Angola, and South Africa. To minimize the impact of external shocks, further economic diversification is crucial, particularly in the tertiary sector for more stability and growth in value. Stakeholders must exercise caution to ensure that this does not become a dependency either, as shocks on service-driven sectors would also significantly impact GDP growth, as seen in South Africa during the COVID period. The Zambian government can develop policies to support this diversification.

CONCLUSION

Zambia exhibits an economic structure that is more balanced than resource-heavy economies like Angola, but less diversified than service-driven economies like South Africa. Its structural profile, with a tertiary sector share of approximately 54.6%, sits between the two, pointing to a hybrid economic position with moderate diversification but still significant reliance on services and mining-related activity. This highlights the need for continued structural transformation to achieve a diversified structure that can adequately manage both external and internal shocks.